

# INVESTMENT PORTFOLIO CREATION

Hypothetical Investment Portfolio Worth ₹1,00,000

## Objective

The objective of this investment portfolio is to build a diversified investment plan worth ₹1,00,000 that balances growth, stability, and moderate risk. The portfolio includes investments in stocks, ETFs, and cryptocurrencies to reduce risk while maximizing long-term returns.

## Portfolio Allocation

| Asset Class    | Investment                  | Allocation | Amount (₹) | Percentage |
|----------------|-----------------------------|------------|------------|------------|
| Stocks         | Reliance Industries         | 1          | ₹25,000    | 25%        |
| Stocks         | Tata Consultancy Services   | 1          | ₹20,000    | 20%        |
| ETF            | Nippon India ETF Nifty BeES | -          | ₹20,000    | 20%        |
| Cryptocurrency | Bitcoin                     | -          | ₹20,000    | 20%        |
| Cryptocurrency | Ethereum                    | -          | ₹15,000    | 15%        |

Total Investment = ₹1,00,000

## Portfolio Allocation Chart



## Investment Rationale

### 1. Reliance Industries (₹25,000)

Reliance Industries is India's largest private-sector company with businesses in energy, retail, telecom, and digital services. It has consistently delivered strong financial performance and continues to expand into renewable energy and technology.

### Why Selected?

Strong market leader

Diversified business model

Stable long-term growth

Good dividend potential

Risk Level: Medium

Expected Holding Period: 5–10 years

## **2. Tata Consultancy Services (₹20,000)**

TCS is India's largest IT company and one of the world's leading software service providers. It has strong global clients and generates consistent profits.

### **Why Selected?**

Stable earnings

Global business presence

Excellent management

Strong dividend history

Risk Level: Low to Medium

Expected Holding Period: 5 years

## **3. Nippon India ETF Nifty BeES (₹20,000)**

An ETF tracks the NIFTY 50 Index and provides exposure to India's top 50 companies. ETFs help diversify investments while keeping costs low.

### **Why Selected?**

Diversification

Lower investment risk

Low expense ratio

Suitable for long-term wealth creation

Risk Level: Low

Expected Holding Period: 5–10 years

## **4. Bitcoin (₹20,000)**

Bitcoin is the world's largest cryptocurrency and is considered digital gold by many investors.

### **Why Selected?**

High growth potential

Global acceptance

Hedge against inflation

Limited supply

Risk Level: High

Expected Holding Period: 5+ years

## 5. Ethereum (₹15,000)

Ethereum is a blockchain platform that supports smart contracts and decentralized applications.

### Why Selected?

Rapid technological development

Large developer ecosystem

Strong long-term potential

Risk Level: High

Expected Holding Period: 5 years

### Risk Analysis

| Asset               | Risk Level  |
|---------------------|-------------|
| Reliance Industries | Medium      |
| TCS                 | Slow-Medium |
| Nifty BeES ETF      | Low         |
| Bitcoin             | High        |
| Ethereum            | High        |

Overall Portfolio Risk: **Moderate**

The combination of stocks, ETF, and cryptocurrencies balances stability with growth potential.

Expected Returns

| Asset               | Estimated Annual Return  |
|---------------------|--------------------------|
| Reliance Industries | 12–15%                   |
| TCS                 | 10–14%                   |
| Nifty BeES ETF      | 10–12%                   |
| Bitcoin             | 15–25% (Highly Volatile) |
| Ethereum            | 18–30% (Highly Volatile) |

**Estimated Portfolio Return:** Approximately 12–18% per year, depending on market conditions.  
(These are illustrative estimates, not guaranteed returns.)

### Advantages of This Portfolio

Diversified across multiple asset classes.

- Reduces overall investment risk.
- Exposure to India's leading companies.
- Participation in stock market index growth through an ETF.
- Opportunity to benefit from long-term cryptocurrency growth.
- Suitable for investors with a moderate risk appetite and long-term investment horizon.

## Conclusion

This hypothetical investment portfolio is designed to achieve long-term capital appreciation while maintaining a balanced level of risk. Nearly half of the investment is allocated to established Indian companies, providing stability and consistent growth potential. The ETF adds diversification by tracking the broader market, while a limited allocation to Bitcoin and Ethereum offers exposure to the higher-growth but more volatile cryptocurrency market.

Overall, this portfolio demonstrates the importance of diversification and strategic asset allocation in building long-term wealth. Regular monitoring and periodic rebalancing would help maintain the desired risk-return profile as market conditions change.

| Asset Class | Investment Name                 | Amount (₹) | Allocation (%) | Risk Level | Expected Return |
|-------------|---------------------------------|------------|----------------|------------|-----------------|
| Stock       | Reliance Industries             | 25000      | 25%            | Medium     | 12–15%          |
|             | Tata Consultancy Services (TCS) | 20000      | 20%            | Low–Medium | 10–14%          |
| ETF         | Nippon India ETF Nifty BeES     | 20000      | 20%            | Low        | 10–12%          |
| Crypto      | Bitcoin                         | 20000      | 20%            | High       | 15–25%          |
| Crypto      | Ethereum                        | 15000      | 15%            | High       | 18–30%          |
|             |                                 |            |                | Moderate   | 12–18%          |
| Total       | Portfolio Value                 | 100000     | 100%           | Overall    | (Estimated)     |